10 Nov 2026 07:30:41 ET | 14 pages

Inventec (2356.TW)

Near-term softness not changing its long-term server growth narrative

CITI'S TAKE

Inventec's 3Q26 net profit came in at NT$2,538m, -35% QoQ and -7% YoY, missing our and consensus estimates by 43%/26%, respectively, mainly due to higher-than-expected interest expense. GM/OPM of 4.2%/1.6% (vs. 4.2%/1.8% in 2Q26) missed Street's expectations with sales mix from Server reaching >50%, vs. 46-50%/41-45% in 2Q26/3Q25. Given continued supply tightness in key components, such as CPU, memory, PCB, near-term momentum looks lackluster for its general server business, and NB business is also dragged by slowing end-demand. Nonetheless, we see positive growth outlook into next year as it transits to serve more rack-level business for AI ASIC projects and the ramping of new AI GPU platform with new capacity coming online in the US would support the local demand. Meanwhile, management indicated there is no equity-based funding need in the near-term as its cash and funding sources already can support its worldwide expansion and entry into server rack-level business.

4Q sales to decline but GM improving — 4Q Server shipment is guided for flattish QoQ mainly impacted by components shortage. Within server, contribution from AI GPU is likely to decline due to platform transition. For NB business, given sluggish end demand, outlook is toned down as shipment guidance now suggests around low-teens to mid-teens QoQ decline. Net-net, we forecast Inventec's overall revenues to decline c14% QoQ in 4Q26. For margins, with lower server rack-level sales contribution, we see GM to recover to 4.5%. Also, with further ramps of its sales scale, the management is expecting its overall OPM to gradually improve in the coming years and to near 2% OPM target level.

AI ASIC/CPU growth as the highlight in 2027 — Overall server demand remains solid, but Inventec is seeing supply chain resources prioritized to support hyperscalers demand. By projects, Inventec sees its ASIC/CPU shipment to grow double digit next year with rising mix from L10. Shipment for new AI GPU platform should start in 1Q27 and drive higher content value for the company.

Maintain Buy with lower TP at NT$65 — We cut our 2026/27/28 earnings by 12%/17%/13% as we reflect the lower margin assumptions as it further ramps its rack-level server business and initial higher cost in overseas expansion. Given our lower earnings estimates, we revise down our TP to NT$65 (from NT$75), based on our unchanged 17x PER to 2027 EPS.

Earnings Summary

Year to 31 Dec	Net Profit (NT$M)	Diluted EPS (NT$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	7,306	2.04	19.1	27.0	2.8	11.0	3.1
2025A	8,690	2.42	18.9	22.7	2.6	11.8	3.2
2026E	12,131	3.38	39.6	16.2	2.7	16.3	4.5
2027E	13,391	3.73	10.4	14.7	2.6	18.0	5.0
2028E	15,505	4.32	15.8	12.7	2.4	19.5	5.8

Source: Powered by dataCentral

Buy

Price (10 Nov 26 13:30)	NT$54.90
Target price	NT$65.00↓
from NT$75.00	
Expected share price return	18.4%
Expected dividend yield	3.1%
Expected total return	21.5%
Market Cap	NT$196,952M
	US$6,009M

Price Performance
(RIC: 2356.TW, BB: 2356 TT)



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2356.TW: Fiscal year end 31-Dec — **Price: NT$54.90; TP: NT$65.00; Market Cap: NT$196,952m; Recomm: Buy**

Profit & Loss (NT$m)	2024	2025	2026E	2027E	2028E
Sales revenue	646,262	691,190	976,088	1,129,293	1,172,292
Cost of sales	-612,925	-654,476	-932,698	-1,084,551	-1,126,270
Gross profit	33,337	36,715	43,389	44,742	46,022
Gross Margin (%)	5.2	5.3	4.4	4.0	3.9
EBITDA (Adj)	**15,863**	**15,185**	**20,561**	**22,562**	**25,227**
EBITDA Margin (Adj) (%)	2.5	2.2	2.1	2.0	2.2
Depreciation	-4,009	-2,479	-3,204	-3,204	-3,204
Amortisation	0	0	0	0	0
EBIT (Adj)	**11,855**	**12,706**	**17,357**	**19,358**	**22,023**
EBIT Margin (Adj) (%)	1.8	1.8	1.8	1.7	1.9
Net interest	-3,095	-3,385	-4,361	-3,946	-3,946
Associates	-449	1,819	644	114	114
Non-Op/Except/Other Adj	938	865	1,824	1,320	1,320
Pre-tax profit	**9,248**	**12,006**	**15,464**	**16,846**	**19,511**
Tax	-1,944	-2,722	-3,310	-3,494	-4,066
Extraord./Min.Int./Pref.div.	1	-594	-22	39	60
Reported net profit	**7,306**	**8,690**	**12,131**	**13,391**	**15,505**
Net Margin (%)	1.1	1.3	1.2	1.2	1.3
Core NPAT	7,306	8,690	12,131	13,391	15,505

Per share data	2024	2025	2026E	2027E	2028E
Reported EPS ($)	2.04	2.42	3.38	3.73	4.32
Core EPS ($)	2.04	2.42	3.38	3.73	4.32
DPS ($)	1.70	1.78	2.49	2.75	3.18
CFPS ($)	-1.99	4.55	20.69	22.81	6.22
FCFPS ($)	-3.51	2.05	18.28	22.03	5.44
BVPS ($)	19.88	21.23	20.15	21.39	22.96
Wtd avg ord shares (m)	3,587	3,587	3,587	3,587	3,587
Wtd avg diluted shares (m)	3,587	3,587	3,587	3,587	3,587

Growth rates	2024	2025	2026E	2027E	2028E
Sales revenue (%)	25.5	7.0	41.2	15.7	3.8
EBIT (Adj) (%)	58.8	7.2	36.6	11.5	13.8
Core NPAT (%)	19.1	18.9	39.6	10.4	15.8
Core EPS (%)	19.1	18.9	39.6	10.4	15.8

Balance Sheet (NT$m)	2024	2025	2026E	2027E	2028E
Cash & cash equiv.	30,934	54,315	118,963	188,970	198,550
Accounts receivables	164,762	119,658	133,249	158,871	167,446
Inventory	65,147	76,912	158,538	216,076	227,781
Net fixed & other tangibles	39,553	47,687	35,803	35,399	34,995
Goodwill & intangibles	662	294	245	245	245
Financial & other assets	34,887	32,806	40,655	46,716	48,489
Total assets	**335,944**	**331,672**	**487,452**	**646,278**	**677,505**
Accounts payable	135,836	109,168	243,904	380,416	401,022
Short-term debt	65,675	76,307	77,832	77,832	77,832
Long-term debt	8,390	8,678	8,231	8,231	8,231
Provisions & other liab	55,557	61,071	84,923	102,781	107,761
Total liabilities	**265,458**	**255,224**	**414,890**	**569,260**	**594,846**
Shareholders' equity	71,320	76,177	72,276	76,731	82,373
Minority interests	-834	271	286	286	286
Total equity	**70,487**	**76,448**	**72,562**	**77,017**	**82,659**
Net debt (Adj)	**43,131**	**30,670**	**-32,900**	**-102,907**	**-112,487**
Net debt to equity (Adj) (%)	61.2	40.1	-45.3	-133.6	-136.1

Valuation ratios	2024	2025	2026E	2027E	2028E
PE (x)	27.0	22.7	16.2	14.7	12.7
PB (x)	2.8	2.6	2.7	2.6	2.4
EV/EBITDA (x)	13.3	14.3	8.9	5.0	2.9
FCF yield (%)	-6.4	3.7	33.3	40.1	9.9
Dividend yield (%)	3.1	3.2	4.5	5.0	5.8
Payout ratio (%)	83	74	74	74	74
ROE (%)	11.0	11.8	16.3	18.0	19.5

Cashflow (NT$m)	2024	2025	2026E	2027E	2028E
EBITDA	15,863	15,185	20,561	22,562	25,227
Working capital	-18,337	4,553	58,879	65,261	3,649
Other	-4,653	-3,422	-5,203	-6,006	-6,578
Operating cashflow	**-7,127**	**16,316**	**74,237**	**81,818**	**22,298**
Capex	-5,448	-8,959	-8,653	-2,800	-2,800
Net acq/disposals	-2,190	9,065	-3,633	-114	-114
Other	0	0	0	0	0
Investing cashflow	**-7,639**	**107**	**-12,286**	**-2,914**	**-2,914**
Dividends paid	-5,381	-6,099	-6,401	-8,936	-9,864
Financing cashflow	**16,329**	**8,245**	**-14,685**	**-8,897**	**-9,804**
Net change in cash	**2,839**	**24,667**	**47,266**	**70,007**	**9,580**
Free cashflow to s/holders	**-12,575**	**7,357**	**65,584**	**79,018**	**19,498**

For definitions of the items in this table, please click here.

Figure 1. Inventec – 3Q26 results overview

(NT$mn)	3Q26 Actual	2Q26 Actual	Q/Q	3Q25 Actual	Y/Y	3Q26 Citi	Diff.	3Q26 Cons.	Diff.
Revenue	272,094	269,857	1%	176,286	54%	268,546	1%	268,103	1%
Gross profit	11,334	11,416	-1%	8,876	28%	12,562	-10%	12,247	-7%
Gross margin	4.2%	4.2%	-0.1 ppt	5.0%	-0.9 ppt	4.7%	-0.5 ppt	4.6%	-0.4 ppt
Op. profit	4,374	4,741	-8%	3,067	43%	5,848	-25%	5,079	-14%
OP margin	1.6%	1.8%	-0.1 ppt	1.7%	-0.1 ppt	2.2%	-0.6 ppt	1.9%	-0.3 ppt
Net income	2,538	3,895	-35%	2,729	-7%	4,425	-43%	3,435	-26%
EPS (NT$)	0.71	1.09	-35%	0.76	-7%	1.23	-43%	0.93	-24%

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Source: Citi Research, Bloomberg

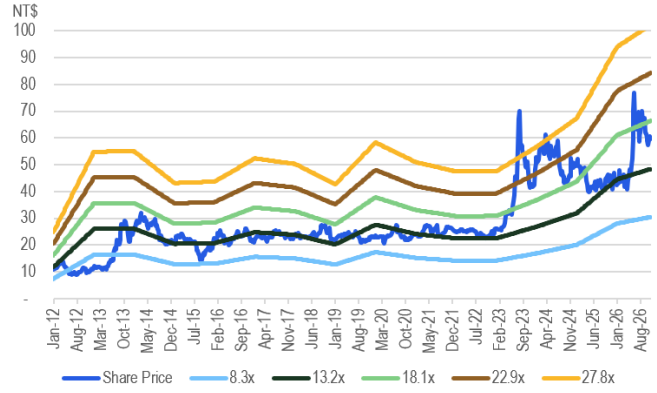
Figure 2. Inventec – Estimates Revisions

(NT$mn)	2026E New	2026E Old	2026E Chg.	2027E New	2027E Old	2027E Chg.	2028E New	2028E Old	2028E Chg.
Sales	976,088	1,006,303	-3%	1,129,293	1,076,800	5%	1,172,292	1,131,031	4%
YoY growth	41%	46%		16%	7%		4%	5%	
Gross profit	43,389	47,744	-9%	44,742	57,766	-23%	46,022	61,499	-25%
Opex	26,032	29,226	-11%	25,384	35,378	-28%	23,999	37,159	-35%
Operating profit	17,357	18,519	-6%	19,358	22,389	-14%	22,023	24,340	-10%
Pre-tax profit	15,464	17,624	-12%	16,846	20,365	-17%	19,511	22,317	-13%
Net income	12,131	13,782	-12%	13,391	16,176	-17%	15,505	17,733	-13%
EPS (NT$)	3.38	3.84	-12%	3.73	4.51	-17%	4.32	4.94	-13%
Gross margin	4.4%	4.7%	-0.3 ppt	4.0%	5.4%	-1.4 ppt	3.9%	5.4%	-1.5 ppt
Opex ratio	2.7%	2.9%	-0.2 ppt	2.2%	3.3%	-1.0 ppt	2.0%	3.3%	-1.2 ppt
Operating margin	1.8%	1.8%	-0.1 ppt	1.7%	2.1%	-0.4 ppt	1.9%	2.2%	-0.3 ppt
Net margin	1.2%	1.4%	-0.1 ppt	1.2%	1.5%	-0.3 ppt	1.3%	1.6%	-0.2 ppt

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Source: Citi Research

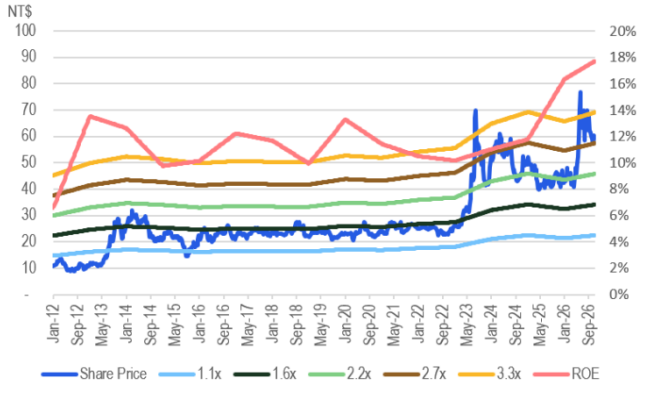
Figure 3. Inventec – Forward P/E band



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Source: Citi Research, company data

Figure 4. Inventec – Forward P/B band & ROE



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Source: Citi Research, company data

Figure 5. Inventec – Forecast Summary

NT$mn	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2024	2025	2026E	2027E	2028E
Net sales	200,311	269,857	272,094	233,826	249,191	278,349	311,814	289,940	646,262	691,190	976,088	1,129,293	1,172,292
Gross profit	**10,177**	**11,416**	**11,334**	**10,463**	**10,343**	**10,705**	**12,259**	**11,435**	**33,337**	**36,715**	**43,389**	**44,742**	**46,022**
OPEX	6,562	6,675	6,960	5,846	5,731	6,124	6,860	6,669	21,482	24,008	26,032	25,384	23,999
Operating profit	**3,615**	**4,741**	**4,374**	**4,617**	**4,611**	**4,581**	**5,399**	**4,766**	**11,855**	**12,706**	**17,357**	**19,358**	**22,023**
Total Non-OP	(308)	276	(1,326)	(535)	(154)	(905)	(919)	(535)	(2,607)	(700)	(1,893)	(2,512)	(2,512)
Pre-tax profit	3,307	5,017	3,048	4,082	4,457	3,676	4,481	4,231	9,248	12,006	15,464	16,846	19,511
Income tax	873	1,117	504	816	869	882	896	846	1,944	2,722	3,310	3,494	4,066
Net profit	**2,428**	**3,895**	**2,538**	**3,260**	**3,582**	**2,809**	**3,600**	**3,400**	**7,306**	**8,690**	**12,131**	**13,391**	**15,505**
EPS (NT$)	**0.68**	**1.09**	**0.71**	**0.91**	**1.00**	**0.78**	**1.00**	**0.95**	**2.04**	**2.42**	**3.38**	**3.73**	**4.32**
Margins (%)													
Gross profit	**5.1**	**4.2**	**4.2**	**4.5**	**4.2**	**3.8**	**3.9**	**3.9**	**5.2**	**5.3**	**4.4**	**4.0**	**3.9**
OPEX to Sales Ratio	3.3	2.5	2.6	2.5	2.3	2.2	2.2	2.3	3.3	3.5	2.7	2.2	2.0
Operating profit	**1.8**	**1.8**	**1.6**	**2.0**	**1.9**	**1.6**	**1.7**	**1.6**	**1.8**	**1.8**	**1.8**	**1.7**	**1.9**
Pre-tax profit	1.7	1.9	1.1	1.7	1.8	1.3	1.4	1.5	1.4	1.7	1.6	1.5	1.7
Net profit	**1.2**	**1.4**	**0.9**	**1.4**	**1.4**	**1.0**	**1.2**	**1.2**	**1.1**	**1.3**	**1.2**	**1.2**	**1.3**
Y/Y(%)													
Net sales	27.6	44.6	54.3	36.5	24.4	3.1	14.6	24.0	25.5	7.0	41.2	15.7	3.8
Gross profit	8.1	20.1	27.7	17.3	1.6	(6.2)	8.2	9.3	26.6	10.1	18.2	3.1	2.9
OPEX	10.5	13.8	19.8	(8.5)	(12.7)	(8.3)	(1.4)	14.1	13.8	11.8	8.4	(2.5)	(5.5)
Operating profit	4.1	30.4	42.6	81.9	27.6	(3.4)	23.4	3.2	58.8	7.2	36.6	11.5	13.8
Pre-tax profit	53.6	72.3	(27.5)	48.8	34.8	(26.7)	47.0	3.7	27.8	29.8	28.8	8.9	15.8
Net profit	42.6	77.9	(7.0)	57.2	47.5	(27.9)	41.8	4.3	19.1	18.9	39.6	10.4	15.8
Q/Q(%)													
Net sales	16.9	34.7	0.8	(14.1)	6.6	11.7	12.0	(7.0)					
Gross profit	14.0	12.2	(0.7)	(7.7)	(1.1)	3.5	14.5	(6.7)					
OPEX	2.8	1.7	4.3	(16.0)	(2.0)	6.8	12.0	(2.8)					
Operating profit	42.4	31.1	(7.7)	5.6	(0.1)	(0.7)	17.9	(11.7)					
Pre-tax profit	20.5	51.7	(39.2)	33.9	9.2	(17.5)	21.9	(5.6)					
Net profit	17.1	60.4	(34.8)	28.4	9.9	(21.6)	28.1	(5.5)					

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Source: Citi Research, company data

Bull/Bear: Inventec (2356.TW)

NT$ 80.00 ▲46% Upside | NT$ 65.00 ▲18% Upside | NT$ 50.00 ▼8.9% Downside



Spread 55pp
Current Price and expected returns (upside/downside) as of 10 Nov 2026

BULL Assumptions

- Better than expected AI server project demand

BASE Assumptions

- OPM at 2.0-2.3% in 2026E-27E

BEAR Assumptions

- Weaker than expected AI server project demand

Inventec

Company description

Established in 1975 and listed in 1996, Taiwan-based Inventec is a key ODM of NBs, servers, smartphones, and wearable/IoT devices to global customers. Major shareholders include the founder Mr. Yeh Kuo-I, whose family has (both directly and indirectly) a c35% stake.

Investment strategy

We rate Inventec shares as Buy. We expect stable demand in NB and server to help support near-term earnings, while product diversification within smart devices to areas such as IoT and medical space should help improve L-T margins. We expect the company's solid cash yield to serve as a downside cushion.

Valuation

Our target price of NT$65 for Inventec shares is based on 17x 2027 EPS, which is slightly above the mid-point of its historical trading range, reflecting the company's product diversification and stable demand outlook led by servers and commercial NBs, as well as increasing AI server exposure that could potentially drive margin expansion and better earnings momentum.

Risks

Key downside risks that could impede the stock from reaching our target price include: 1) Slower-than-expected shipment growth/weaker-than-expected sell-through in HomePods and AirPods could lead to downside in our sales forecasts; 2) If competitors adopt aggressive pricing strategies to gain market shares, our ASP and margin assumptions could face downside risk; 3) Lower-than-expected server margins driven by rising exposure to Chinese customers could impact our earnings forecasts negatively; 4) Deterioration in NB demand and investment in solar would hurt our forecasts; and 5) Stronger-than-expected Taiwan dollar could lead to FX loss and downside to our current forecasts.

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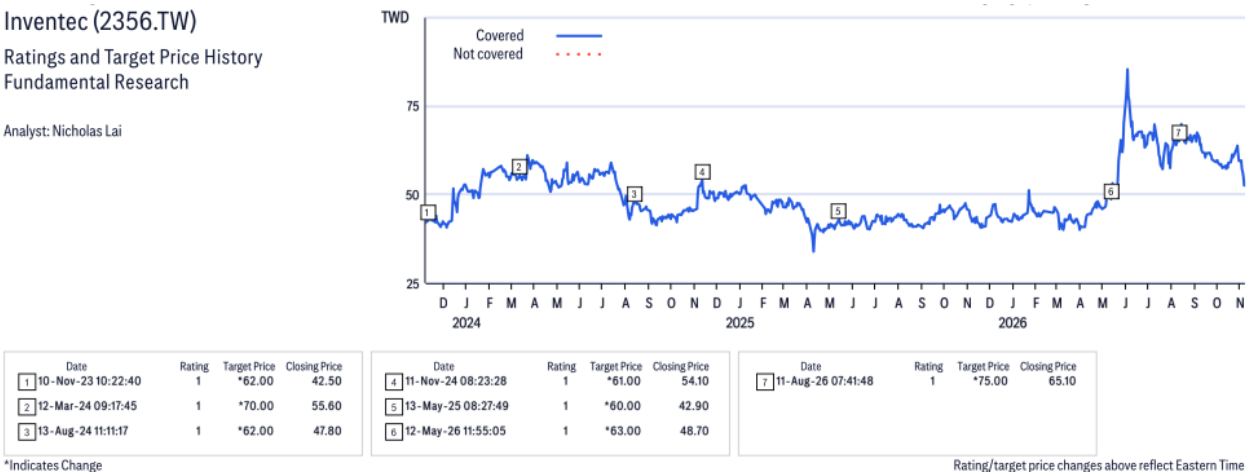
Appendix A-1

ANALYST CERTIFICATION

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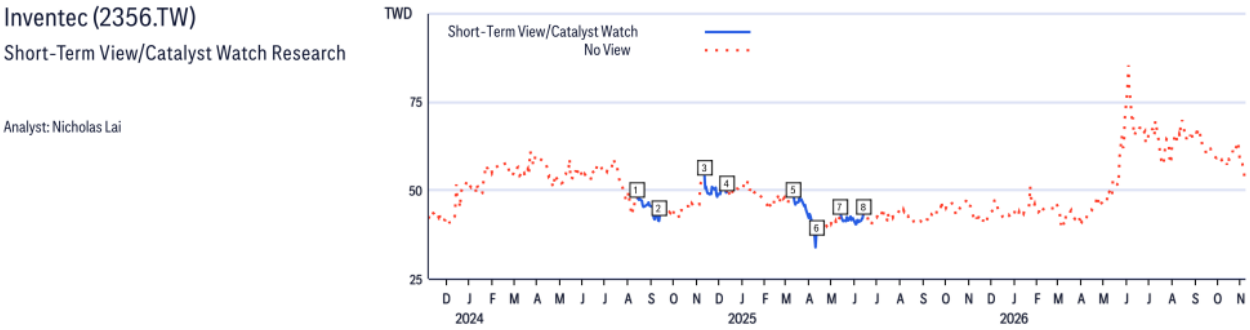
IMPORTANT DISCLOSURES



	Date	Rating	Target Price	Closing Price
1	10-Nov-23 10:22:40	1	*62.00	42.50
2	12-Mar-24 09:17:45	1	*70.00	55.60
3	13-Aug-24 11:11:17	1	*62.00	47.80
4	11-Nov-24 08:23:28	1	*61.00	54.10
5	13-May-25 08:27:49	1	*60.00	42.90
6	12-May-26 11:55:05	1	*63.00	48.70
7	11-Aug-26 07:41:48	1	*75.00	65.10

*Indicates Change

Rating/target price changes above reflect Eastern Time



	Date	Action	Expected Direction	Duration	Closing Price
1	13-Aug-24 07:11:17	Add STV	Downside	30 Days	47.80
2	12-Sep-24 21:44:41	Remove STV	Downside	30 Days	42.85
3	11-Nov-24 03:23:28	Add STV	Downside	30 Days	54.10
4	11-Dec-24 19:58:15	Remove STV	Downside	30 Days	49.60
5	11-Mar-25 03:52:14	Add STV	Upside	30 Days	47.80
6	10-Apr-25 21:37:35	Remove STV	Upside	30 Days	37.25
7	13-May-25 04:27:49	Add STV	Upside	30 Days	42.90
8	12-Jun-25 21:35:47	Remove STV	Upside	30 Days	43.05

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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